

ZARA

STRATEGIC ANALYSIS REPORT

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BUS 478 D300 | Business Strategy | Spring 2026

COMPANY BACKGROUND

- Founded in 1975 in A Coruna, Spain.
- Founders are **Amancio Ortega** and **Rosalia Mera.**
- Sold affordable versions of popular high-fasion styles.
- Currently operates rougly 2000 store globally.
- One of the most influential fast fashion companies.



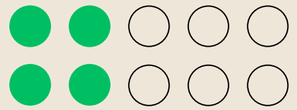


VALUE PROPOSITION

- Delivered through speed and affordability.
- Rapidly adapts to global trends and consumer preferences.
- Can move from design to store within 2-4 weeks.
- Effectively targets fashion-conscious consumers wanting trendy clothing at affordable prices.

ENVIRONMENTAL ANALYSIS FINDINGS

PORTER'S FIVE FORCES

	Drivers/Barriers	Intensity Now vs Five Years
Competitive Rivalry	• Practically zero switching costs • Large number of competitors of all sizes • Frequent price discounting and promotions • Major rivals include H&M, Shein, Mango	
Threat of New Entrants	• Supply Side Economies of Scale • Large Capital Requirements • Regulatory and Sustainability Barriers • Technological Advances	
Threat of Substitutes	• Growing markets with price-performative trade-offs: Discount retailers, second-hand and resale platforms, fashion rental services • Low Switching Costs • Low Risk with Trying Alternatives	
Bargaining Power of Suppliers	• Highly Vertically Integrated • Many Available Suppliers- purchasing from roughly 1800 suppliers • Large Order Volumes; suppliers dependent on Zara for Revenue	
Bargaining Power of Buyers	• Zero switching costs • Effortless Price Transparency and Comparison • Many Competitiors + Alternatives	

How AI is reshaping the retail industry environment

GENERATIVE AI

64% of retail CEOs ranks Generative AI as their top investment priority
Moved from experimentation to core operational strategy across the industry.

KPMG AI in Retail Report, 2026

REPLACING SEARCH

Over 90% of retail leaders expect AI to overtake search engines for product discovery by the end of 2026.
ChatGPT already drives 15-20% of discovery for some retailers, brands not optimized for AI could become invisible.

Deloitte, 2026 Retail Industry Global Outlook

RAISED EXPECTATION

82% of consumers want AI to reduce research time when shopping.
Personalisation, instant recommendations, and virtual try-on are now baseline expectations and retailers who cannot deliver will lose customers.

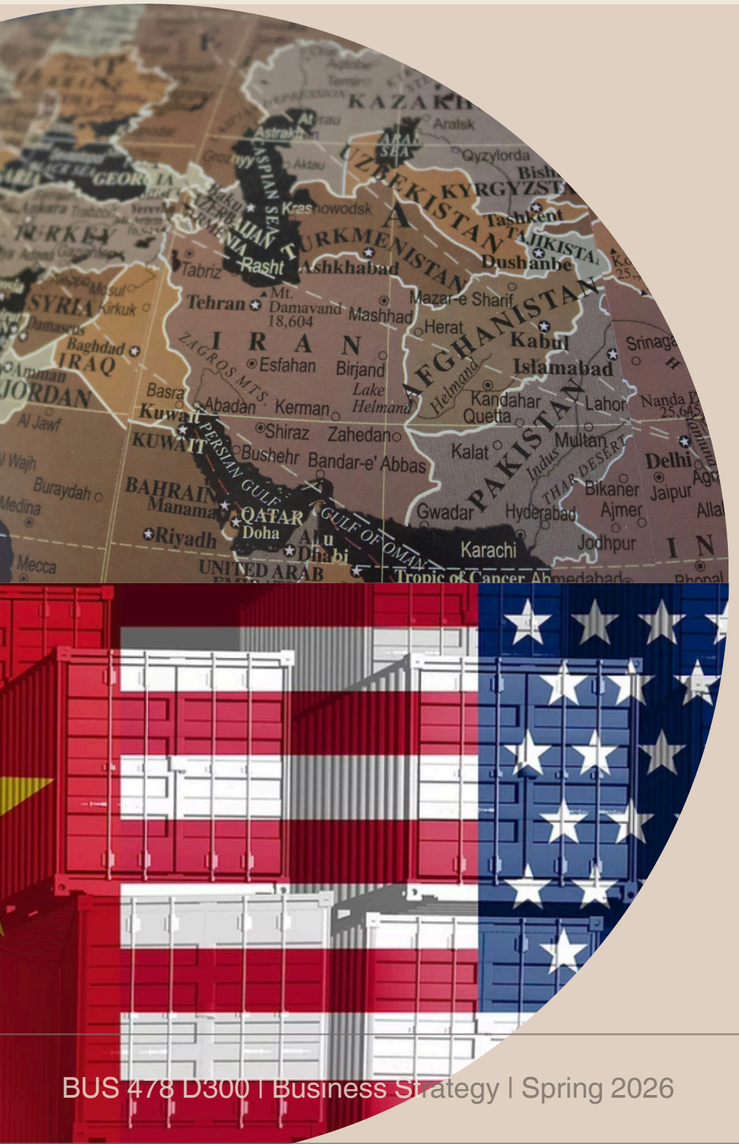
McKinsey, State of Fashion 2025



TECHNOLOGY IMPACT: ARTIFICIAL INTELLIGENCE

GEOPOLITICAL IMPACT: TRADE FRAGMENTATION

How geopolitical instability is making the retail industry less profitable



INDUSTRY COST PRESSURE

76% of fashion executives name trade disruption their #1 industry concern for 2026.

95% of retailers anticipate rising costs from global trade policies, with margins compressing across the entire industry.

McKinsey / BoF, State of Fashion 2026 | Deloitte, 2026 Retail Industry Outlook

CONSUMER DEMAND SOFTENING

Nearly three-quarters of fashion executives expect to hike prices in 2026 due to tariffs up from about half the year before.

Rising prices push shoppers toward secondhand and cheaper alternatives, compressing demand for mid-market fast fashion.

Bloomberg, November 2025

SUPPLY CHAIN FRAGILITY

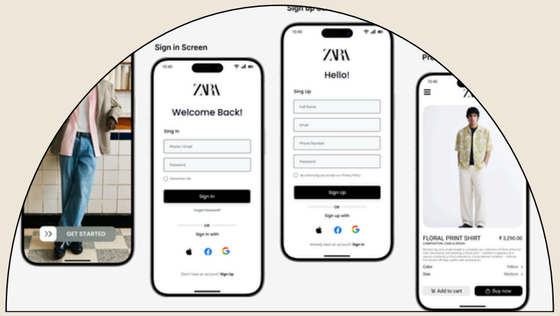
82% of global supply chain leaders say their supply chains are affected by new tariffs.

39% reporting increased supplier costs and 30% reporting reduced customer demand.

McKinsey, Supply Chain Risk Pulse 2025

COMPLEMENTORS

ZARA'S COMPLEMENTORS REINFORCE ITS FAST-FASHION MODEL BY INCREASING SPEED, CONVENIENCE, AND CUSTOMER ENGAGEMENT.



DIGITAL ECOSYSTEM COMPLEMENTORS

- Mobile app + online platform
- Social media platforms (TikTok, Instagram)
- Payment platforms (Apple Pay, Klarna



PRODUCT

- Products that increase basket size and outfit bundling
  - Accessories like bags, jewelry, belts, etc
  - Footwear
  - Fragrances



TECHNOLOGICAL

- AI partners/cloud providers
- Data analytics systems
- RFID + real-time tracking systems
- Enables real-time decision making and rapid response to trends
- Harder to replicate due to integration



STRATEGIC PARTNERS

- Logistics Partners
  - Efficiency in specialized logistics for their "just-in-time."
- Influencer/Stylist Network
  - Social media creators who create "Zara outfits"

HOW ZARA CAN STRENGTHEN ITS COMPLEMENTOR ECOSYSTEM

SUSTAINABILITY ECOSYSTEM

- Partner with recycling. platforms
- Expand in-store garment collection programs.
- Collaborate with sustainable material innovators.

AI & DATA PARTNERSHIPS

- Use AI for returns, personalization, and demand forecasting.
- Expand RFID + real-time inventory systems.
- Partner with AI/cloud providers.

EXPAND INFLUENCER & CREATOR ECOSYSTEM

- Expand influencer & creator partnerships.
- Leverage user-generated content (“Zara outfits”).
- Collaborate with micro-influencers for niche markets.

Complementors don’t just support Zara, they amplify its speed-driven business model and make it harder for competitors to imitate

INTERNAL ANALYSIS FINDINGS



KEY RESOURCE:
FINANCIAL STRENGTH

€28.05B OUT OF €39.86B (70%)

INDITEX'S REVENUE

- €10.2B in online sales
- 20.1% operating marging (H&M's 8.1%)

€5.6B OUT OF €8B (65%)

INDITEX'S PROFIT

- 57.8% gross margin
- 40% return on capital employed

INDITEX

ZARA PULL&BEAR Massimo Dutti Bershka

Stradivarius OYSHO ZARA HOME UTERQÜE

TANGIBLE RESOURCES

GLOBAL RETAIL NETWORK

- Over 2k stores worldwide (3.14M m^2 selling space)

HIGHLY AUTOMATED LOGISTICS CENTERS

- Strategically located distribution hubs and production factories

ADVANCED IT SYSTEMS

- 218M active apps
- 8.1B online visits
- 257M social-media followers

INTANGIBLE RESOURCES

BRAND EQUITY

- Evoked set for fashionable and affordable clothes
- Strong market presence

DESIGN KNOWLEDGE

- Designs consider trends and customer feedback
- Continuous rather than seasonal designs

SUPPLIER ECOSYSTEM & RELATIONSHIPS

- Ten orchestrated supplier clusters
- Framework: design-feedback-sourcing-logistics-store loop

KEY CAPABILITIES

VALUE-CHAIN-LINKED SUSTAINABILITY EXECUTION

- Environmental transformation plan to decarbonize plans, and improve water, waste management and chemical standards

Balanced Vertical Integration

INTEGRATED OMNICHANNEL STOCK MANAGEMENT

- Helps keep end-of-season surplus below 1% of all items put on sale
- Strong replenishment and inventory-allocation capability

Rapid trend sensing and translation

FLEXIBLE SOURCING AND SHORT PRODUCTION RUNS

- Short production series (2-3 weeks)
- Small production batches
- Frequent shipment to stores

Store optimization and commercial execution

PORTER’S VALUE CHAIN

PRIMARY ACTIVITIES

INBOUND LOGISTICS

- Highly centralized.
- Vertically integrated.
- Advanced automated logistics.
- Real time data for fashion trends within 72 hours.

OPERATIONS

- Rapid switching between styles.
- Designers work closely with planners to quickly produce.
- Design, pattern making, and cutting are vertically integrated.

OUTBOUND LOGISTICS

- All garments pass through their centralized distribution centres.
- All raw materials and finished goods pass through and out to stores
- Focuses on flexibility in manufacturing.

MARKETING AND SALES

- Zara does not invest in exponential marketing campaign.
- They rely on word of mouth ads, and have storefronts in crowded areas.

AFTER-SALES SERVICE

- Items are returned and exchanged within 30 days, assumed no damage.
- Unsold items are transferred or discounted.

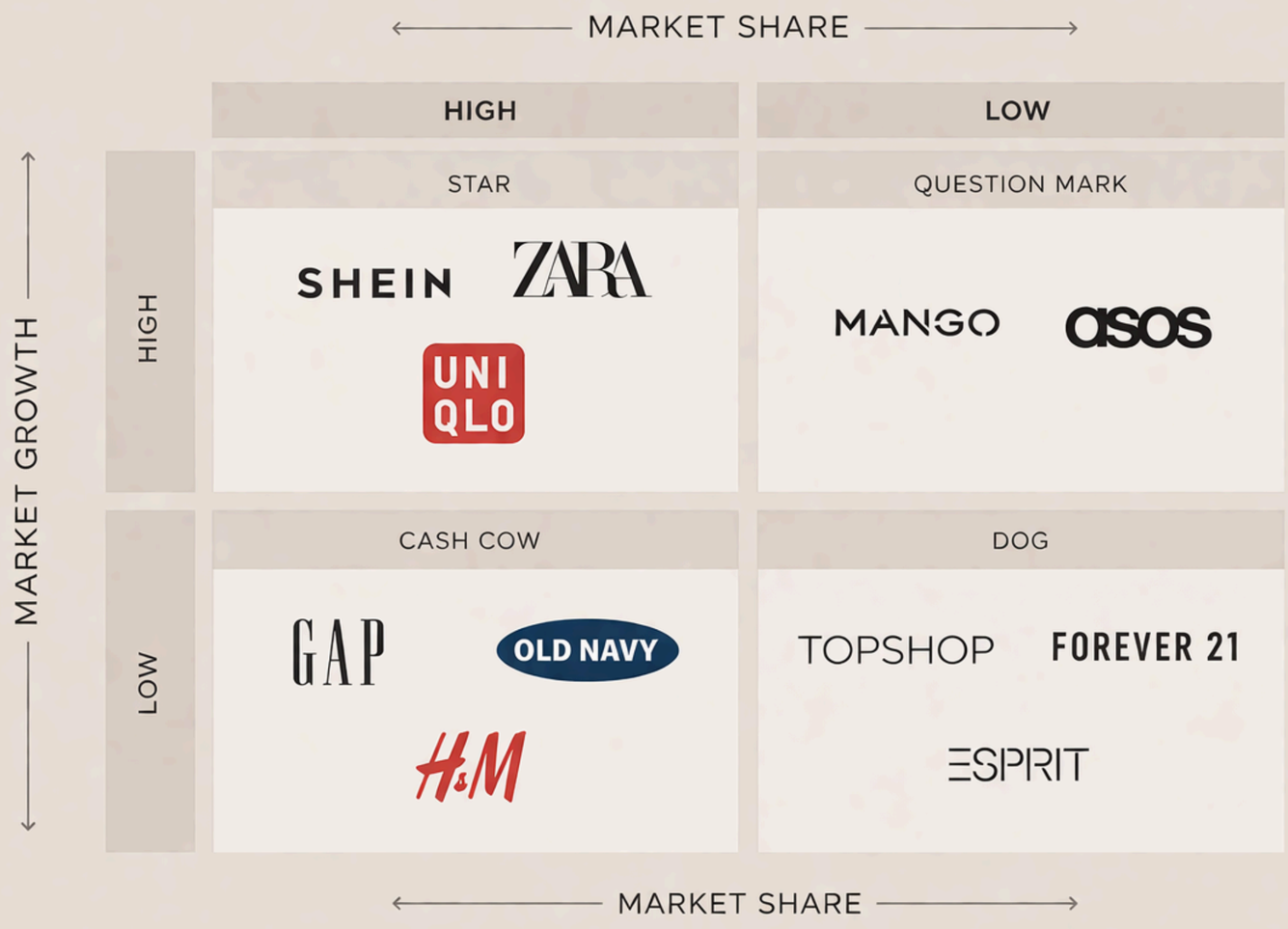
SUPPORTING ACTIVITIES

FIRM INFRASTRUCTURE	Highly centralized, vertical integration, advanced automated logistics, real time data for new fashion trends within 72 hours.
HUMAN RESOURCES MANAGEMENT	Zara seems to outsource their hiring to third party (inditex careers). Relying a lot of employee training and employee satisfaction.
TECHNOLOGY DEVELOPEMENT	Information transfer is a key aspect in their operations, keeping their whole supply chain connected with each other. Major investments in IT for connection.
PROCUREMENT	Inditex purchases their raw materials around the world within their own supply chain. They also purchase finished products from outside suppliers for speed.

COMPETITIVE POSITIONING



BCG Growth Share Matrix



ZARA COMPARATIVE ANALYSIS

Aspect	Zara (Inditex)	H&M	Uniqlo	Mango	Shein
Speed to Market	2–3 weeks	~4–8 weeks for trend-driven items, 3–6 months for basics and bulk production.	focuses on long-term basics rather than rapid trend turnover.	Faster than H&M, but slower than Zara	Ultra-fast (days–weeks, AI-driven)
Price Positioning	Mid-tier affordable luxury feel	Lowest prices	Value basics/quality	Mid-tier feminine	Ultra-low (cheapest)
Style Focus	Trendy, runway-inspired	Broad, trendy	Timeless basics/functionality	Chic, polished, feminine	Hyper-trendy, massive variety
Quality/Durability	Good (better than ultra-fast)	acceptable but inconsistent; often criticized for lower durability.	Highest quality in this group: built for longevity and repeat wear.	Good: slightly more refined materials than H&M; comparable to Zara.	often considered disposable; inconsistent sizing and materials.
Sustainability	“Join Life”, sustainable fibers and recycling programs.	“Conscious Collection” and recycling bins, but criticized for greenwashing	Focus on durability, recycling initiatives, and fewer seasonal changes.	Growing commitment: sustainable capsule lines and transparency efforts.	widely criticized for waste, overproduction, and environmental impact.
Key Strength	Speed + scarcity model (limited stock creates urgency)	Massive global reach + affordability + collaborations.	High-quality essentials + strong brand loyalty.	Elegant design niche + cohesive brand identity.	Price dominance + digital-first + huge product variety
Position vs Zara	–	Slower, cheaper, less premium feel.	Less trendy but higher quality and longevity.	Similar positioning but narrower audience and less trend speed.	Faster and cheaper, but significantly lower quality and brand perception.

VERTICAL INTEGRATION & RESPONSIVENESS AS THE CORE ADVANTAGE

Resource Capability	Valuable?	Rare?	Inimitable?	Organized?	Competitive Strength & Sustainability
Proximity sourcing	Yes - Enables fast replenishment, lower lead times, reduced inventory risk	Yes – most competitors rely heavily on Asia	Moderately – requires supplier network shift + higher cost tolerance	Inditex reports: 50%+ production near HQ.	**Strong advantage** – sustainable but costly; hard (not impossible) to replicate
In-house design team	Yes - Rapid trend translation means higher hit rate on products	Yes – scale + speed of internal design uncommon	Moderate – talent replicable, but coordination at scale is hard	Inditex disclosures cite 700+ designers, closely linked to data, stores, and production	**Moderate to strong advantage** – somewhat sustainable if integration maintained
RFID & real-time data systems	Yes - Improves inventory accuracy, demand sensing, restocking speed	No - Increasingly less rare as tech diffuses	Low to moderate – technology itself replicable	Tags are tracked from distribution centers directly to the sales floor, enabling automatic replenishment of sold items.	**Temporary advantage** – not sustainable alone, but strengthens other capabilities
Fast product cycle (2–3 weeks)	Yes - Matches demand quickly means higher full-price sales	Yes – industry norm is 2 - 12 weeks	High – depends on entire system working together	Enabled by integrated design, sourcing, and logistics	**Strong sustained advantage** – core to Zara's positioning
Small-batch production model	Reduces overstock, increases scarcity and urgency	Yes – most competitors rely on large production runs to achieve economies of scale	High - requires tightly synchronized supply chain, fast production, and responsive logistics	Fully embedded in vertically integrated system; frequent restocking (2x per week) enables scaling "winners" instead of overproducing upfront	**Strong advantage –** sustainable as part of Zara's system; difficult to replicate without sacrificing cost efficiency or restructuring supply chains
Low markdown rates (~15–20% vs. 30–40%)	Higher margins, less inventory waste	Yes – most competitors discount heavily	Outcome-based → hard to copy without system change	Achieved through tight demand-supply matching and rapid inventory turnover	**Highly sustainable** if system maintained

ANALYTICAL QUESTIONS

ANALYTICAL QUESTION #1

ADVANTAGES

Zara’s tightly integrated supply chain and real-time data capabilities allow it to apply AI faster and more effectively than competitors, reinforcing its speed advantage.

DISADVANTAGES

AI is increasingly accessible, enabling competitors to quickly imitate similar capabilities and reduce Zara’s technological differentiation.

COMPETITIVE ADVANTAGE

Zara can sustain its advantage if AI is deeply embedded within its unique operations and decision-making processes, making it harder to replicate beyond just the technology itself.

To what extent can Zara achieve a sustainable competitive advantage by integrating disruptive technologies such as AI, given the risk of imitation and the erosion of differentiation?

Does AI create lasting advantage or just temporary gains?

ANALYTICAL QUESTION #2

ADVANTAGES	Zara has invested in a sustainability campaign to reduce their carbon footprint, textile waste, and product transparency that started in 2024 and will finish in 2027.
DISADVANTAGES	Sustainability practices may not be worth pursuing if we take market strategy and competitive advantage into consideration as they are a fast-fashion company.
COMPETITIVE ADVANTAGE	Sustainability could be a turning point in Zara's business strategy, drawing customers that may be more inclined with those values.

How should Zara respond to rising sustainability expectations without losing its competitive advantage in speed and price?

What should Zara be doing about sustainability expectations?

ANALYTICAL QUESTION #3

ADVANTAGES	Markdowns allow Zara to promote their brand by having seasonal sales and attracting lower income customers.
DISADVANTAGES	Markdowns are Zara's biggest profit loss as predicting the amount of product customers are going to buy is impossible.
COMPETITIVE ADVANTAGE	Remaining inventory could be used towards sustainability practices (Recycle Bins), partnerships with other companies, or increasing technology involvement

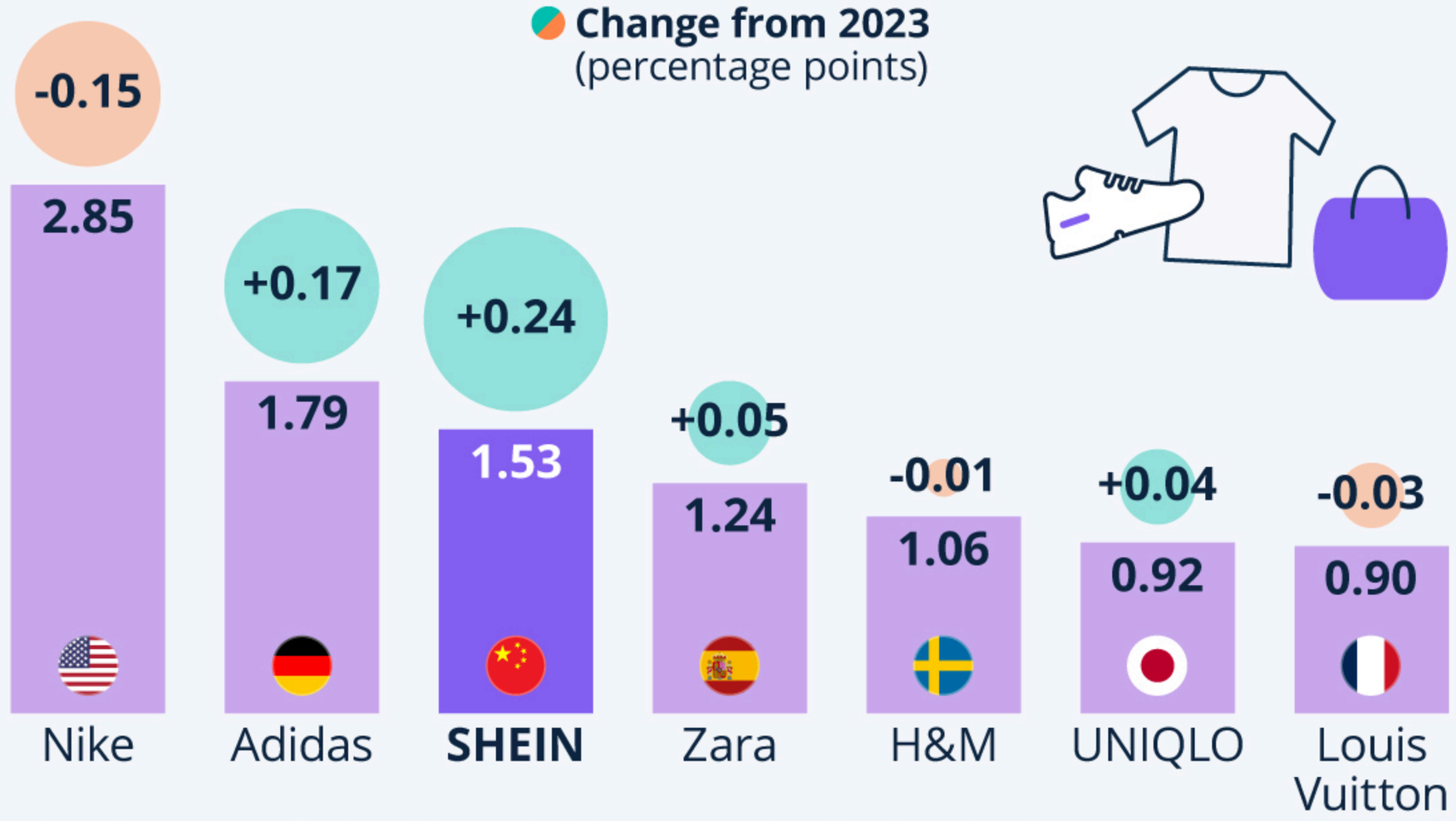
How should Zara tackle product markdowns moving forward? Should AI be involved in this part of the operations process?

Would second-hand products (Winners, Homesense) go well with its reputation?

THANK YOU!!! :D

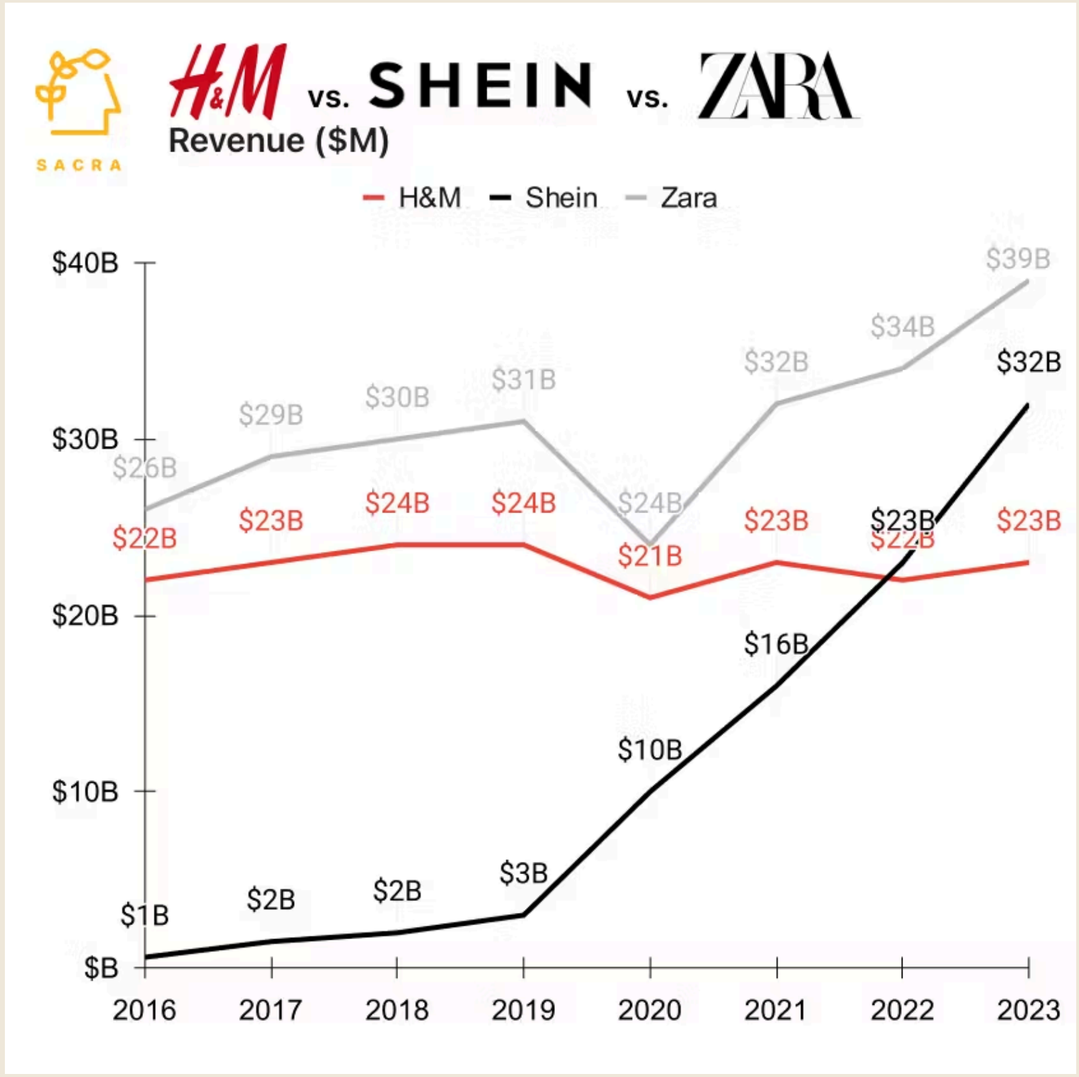
APPENDIX

Estimated global market shares of the apparel industry's leading brands in 2024 (in percent)



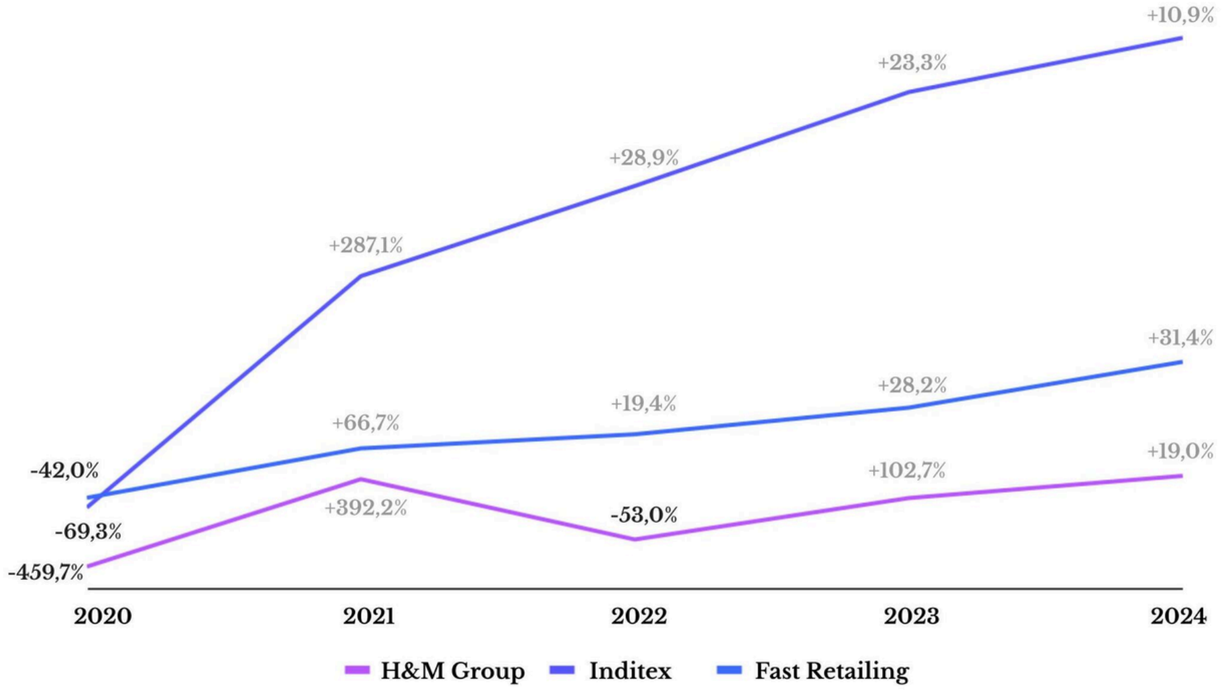
Market shares are calculated from global apparel sales for the calendar year, including sales tax and wholesale markup. Estimates as of March 2025.

Source: GlobalData



Operating Income Comparison of H&M Group, Inditex and Fast Retailing

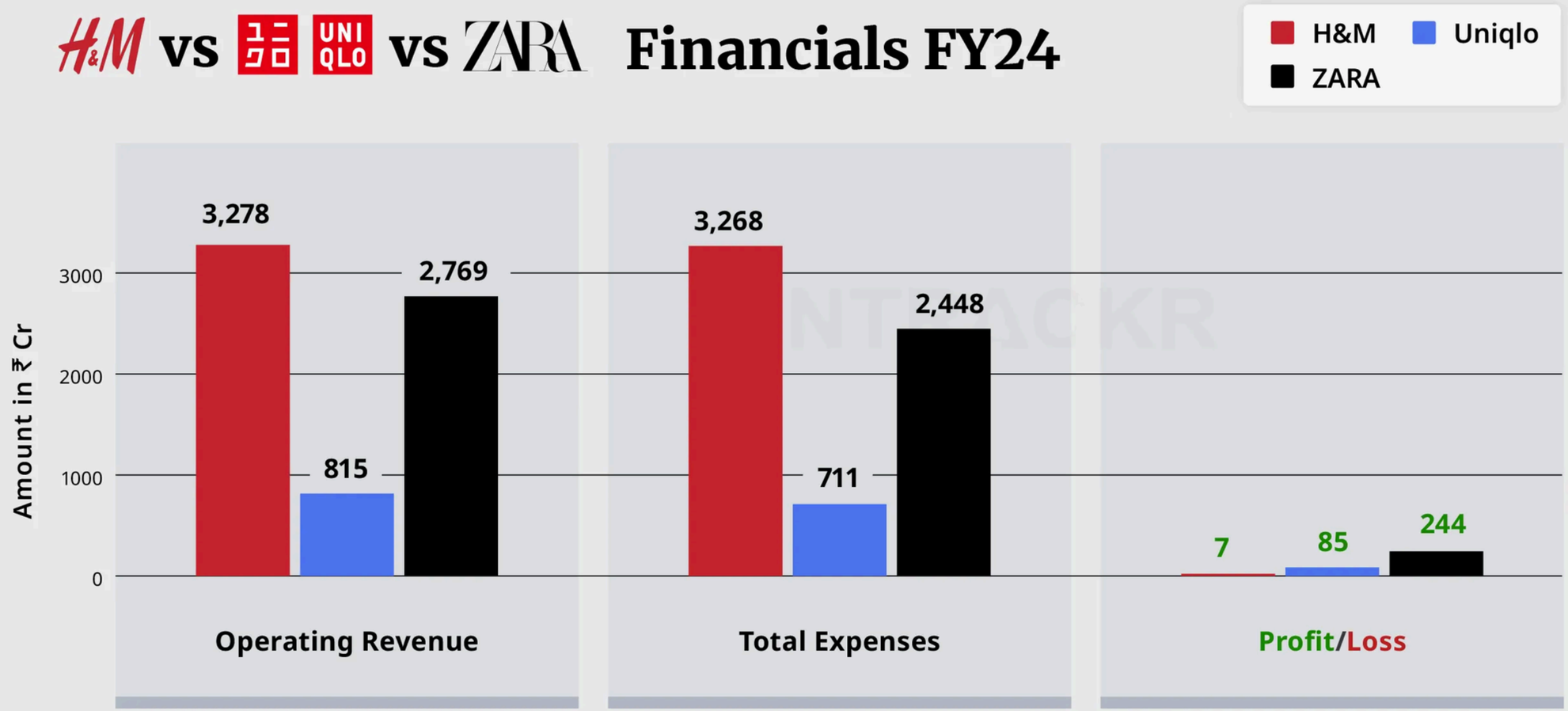
The percentage comparison between the yearly operating income of H&M Group, Inditex and Fast Retailing.



Source: H&M Group, Inditex SA and Fast Retailing Co., Ltd. Financial Reports 2020-2024

Fashionbi

H&M vs UNIQLO vs ZARA Financials FY24



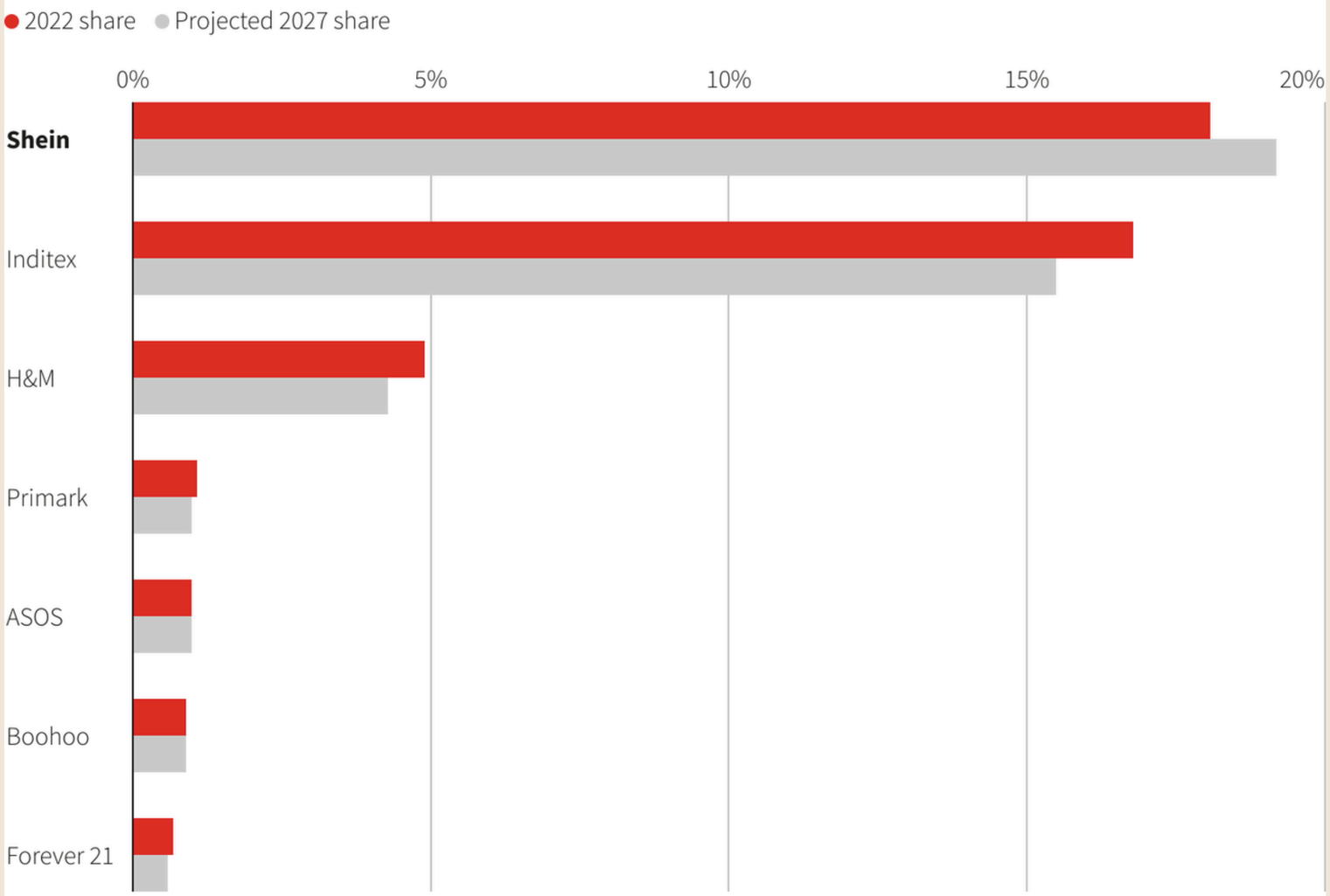
Powered by Cashfree Payments

Source : TheKredible

FINTRACKR

Shein corners nearly a fifth of fast-fashion retail market

Global fast-fashion market share by leading companies for 2022 and 2027

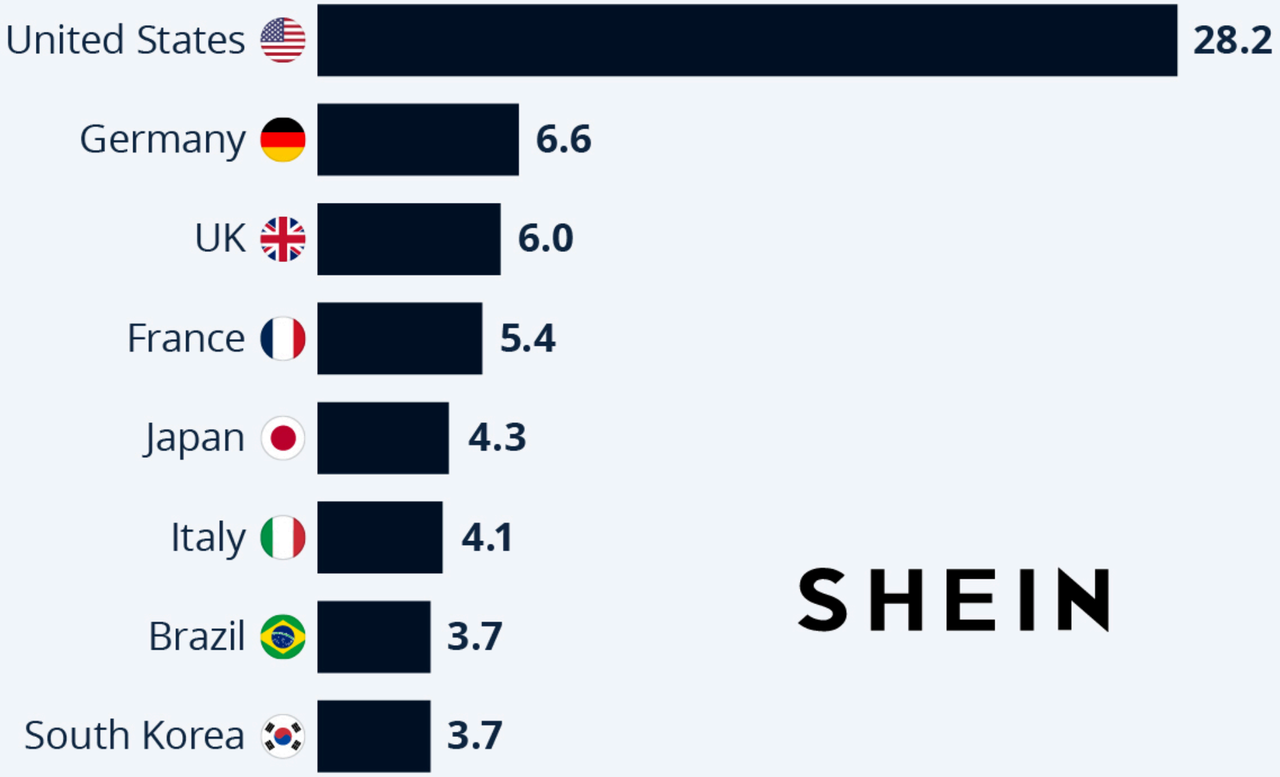


Note: Market shares are based on estimates.

Source: Coresight Research | Reuters, Dec. 12, 2023

U.S. Is Shein's Biggest Market

Estimated share of Shein's sales in 2023,
by largest markets (in percent)



SHEIN

Source: GlobalData via Reuters

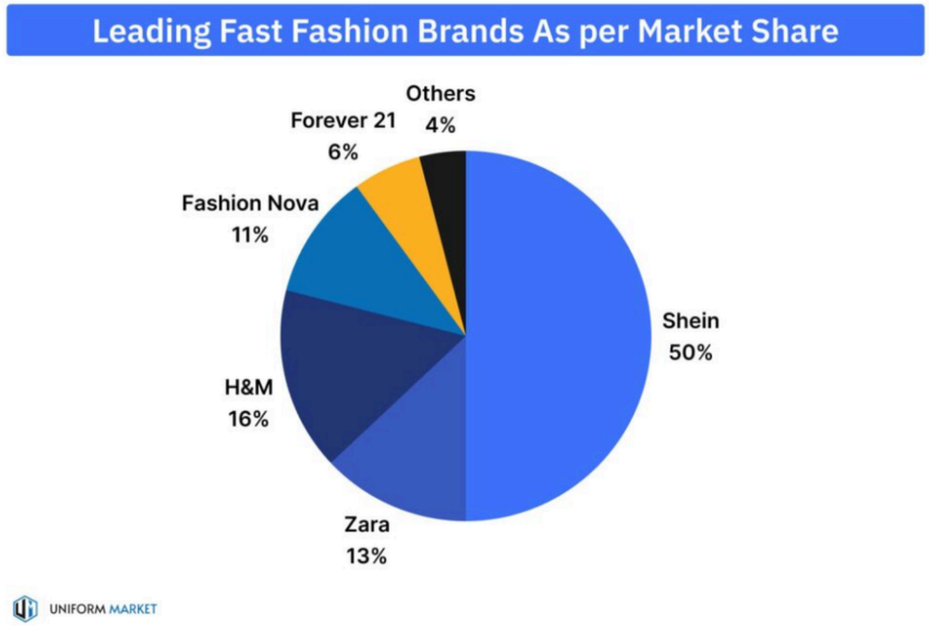
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statista

Zara vs Shein: Competing for Growth in North America

The biggest players in fast fashion

Shein is the biggest fast fashion brand in the US with a 50% market share, its market share has doubled since March 2020. Zara is the second biggest fast fashion brand in the country with a 13% market share.



Here is a table showing the United States' biggest fast fashion brands.

1

Revenue: $15.7 Billion vs. $31.1 Billion

Although estimated revenue for Shein in fiscal 2021 was lower, the company saw higher, 57% year-over-year revenue growth, compared to Inditex's 36% growth.

2

Target Consumers: Ages 10–25 vs. 18–40

Shein targets a much younger Gen Z audience than Inditex, which targets an older, broader age group.

3

Sustainability: Lagging Behind vs. Leading the Way

Shein, which has been repeatedly criticized for waste production, launched its first sustainability report in spring 2022. Inditex is aggressively bolstering its sustainability initiatives, which include a goal to achieve net-zero carbon emissions by 2040.

www.coresight.com

CORESIGHT RESEARCH

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